HMGT 311 · LUXURY BRAND MANAGEMENT

# Luxury Consumer Behavior

Assignment 2 · Who the Luxury Guest Is & Why They Buy · Summary Sheet · Fall 2026


| STUDENT | ID NO. | FACILITATOR | SUBMITTED |
|---|---|---|---|
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## 1 Ordinary vs. Luxury Hospitality Customer

| FEATURE | Ordinary guest | Luxury guest |
|---|---|---|
| Main motive | Functional: sleep, location, safety, convenience | Emotional & symbolic: pleasure, prestige, self-reward, privacy |
| Price | Highly price-sensitive; compares deals on OTAs | Accepts a premium, but the price must be justified |
| Expectations | Standard, consistent service | Personalized, anticipatory service (name, habits, preferences) |
| Decision | Rational: reviews, stars, distance, price | Brand heritage, story, in-group word of mouth |
| Loyalty & staff | Low loyalty; short, transactional contact | High loyalty; long-term personal relationship (butler, concierge) |

## 2 Demographics: Who & Where

- **Younger:** from the 19th-century Western elite to Millennials & Gen Z.
- **HENRYs:** High Earners, Not Rich Yet; ≈$100K–250K, ~35% of the market, rising to ~50%.
- **Geography:** Asia (China ≈ half of spending), U.S., Europe, Japan and the growing Gulf / Saudi market.
- **Gender & profile:** 53.4% female, 46.6% male online; highly educated, high income.

## 3 Psychographics: The Why

- **Hedonic:** luxury triggers dopamine; buying to feel good.
- **Self-treat & gifts:** 20.5% buy for an occasion, 18.5% to treat themselves (Deloitte).
- **"Woke" values:** expect brands to act on sustainability & social issues.
- **Quiet luxury:** discreet over logos; experiences over possessions.

## 4 The Psychological Process Behind Buying Luxury

### I — Need for Uniqueness

People want to be different (uniqueness theory): personal level (individuality, self-expression) and brand level (differentiation, tailored offers). Balance unique vs. too niche.

**Apply:** tell the property's legacy & local story; exclusive previews, member-only events.

### II — Costly Signaling & Status

Buying to show membership of a wealthy in-group (Veblen). Today only 6% buy to show wealth: status is signaled quietly, through sustainability ("prosocial signaling").

**Apply:** real, transparent green action; private villas & butlers as discreet status.

### III — Building the Self

Luxury builds a self-narrative close to the ideal self. If it fails, guests feel "imposter syndrome for luxury consumption".

**Apply:** nurture guests long-term (tiers, VIP experiences); speak to an aspirational, attainable self.

**Key takeaway:** The ordinary guest buys a service; the luxury guest buys an experience and an identity. Saudi luxury hotels win by making guests feel unique, quietly recognized and worthy of their stay, through personalization, authentic local stories and real sustainability.


**Key sources:** Belk (1988) · Deloitte (2017) · Griskevicius et al. (2010) · Han, Nunes & Drèze (2010) · Kapferer & Bastien (2012) · Kotler et al. (2017) · Snyder & Fromkin (1980) · Tian et al. (2001) · Veblen (1899) · Vigneron & Johnson (2004) · UPM HMGT 311 Ch. 5 slides